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LECTURE NOTES ON BANKING

LAWS REGULATING THE ESTABLISHMENT AND OPERATION OF BANKING IN NIGERIA

Bank was given a statutory definition in Nigeria by the Banks and Other Financial Institutions Act (herein after referred to as BOFIA) as; "a bank licensed under this Act." This definition was adopted by the Central Bank of Nigeria Act. By these definitions, a bank is a financial institution that has complied with the required provisions and has obtained a license to carry on the business of banking under BOFIA or its enabling statutes in Nigeria.

Bankers ordinarily operate bank accounts; accept deposits into those bank accounts, deal with payments into and out of those accounts, and latterly have begun to provide services connected o those core activities, including the operation of electronic payment systems, the issue and operation of payment cards, (whether credit cards, debit cards, charge cards, and so on), and the settlement of cheques

> There are therefore, two characteristics usually found in bankers today: (1) they accept money from and collect cheques for, their customers and place them to their credit; (2) they honour Cheques or orders drawn on them by their customers when presented for payment and debit their customers accordingly. These two characteristics carry with them also a third, namely; (3) they keep current accounts or something of that nature, in their books in which the credits and debits are entered.

The Supreme Court, in *Wema Bank Plc. v. Osilaru* (2008) 10 NWLR (Pt. 1094) 150, p. 182 defined a bank as:

> A quasi public institution, for the custody and loan of money, the exchange and transmission of same by means of bills and drafts and issuance of its own promissory notes (Cheques) payable to bearer, as currency, or for the exercise of one or more of these functions, not always necessary chartered but sometimes so, created to serve the public ends. It is a financial institution regulated by law. A bank is wholly the creation of statute to do business (for profit) by legislative grace, and the right to carry on business through the agency of a corporation is a franchise which is depended on a grant of corporate powers by the state.

The term 'banker' has also been defined as 'any person employed by a bank or whose duty wholly or substantially includes banking business.' A judicial definition was given in *Akwule & 10 Ors v Reginam* (1963) 1 All NLR, p. 193 which states that the term 'banker' refers to a company carrying on business and not the individual employees. In that case, the accused Akwule, was a branch Manager of the Bank of West Africa Limited at the time. He was accused of passing cheques payable to firms, which has accounts at other banks to his co-accused persons and allowed them credit at his branch to defraud his employers. He did not pay or give to them cash. Akwule was charged and convicted of criminal breach of trust under Section 315 of the penal code in the capacity of a Banker to wit the Branch Manager of Bank of West Africa Limited at Fagge at Kudu. On appeal to the then Federal Supreme Court, the issue was whether Akwule was a banker within the meaning of Section 315 of the Penal Code Law and if so, whether the cheques of which he was said to have committed criminal breach of trust were entrusted to him in the capacity of a banker. The Court held that Akwule was not a banker within the meaning of the code but an employee of the bank. According to the Court, this was so because the customer's accounts were kept with the Bank of West Africa Limited and it was that bank that was a debtor to the customer who deposited money with it and not the individual employee like Akwule.

A similar decision was also reached in the case of *Attorney General of the Federation v. Ekpa,* which came up under the Banking Act of 1969. In this case, Ekpa was a proprietor of a business call Global Saving Syndicate. This mayor business was collecting money on a daily basis from market women and a few other persons, which money he paid into his account with Mercantile Bank Limited, Calabar, Ekpa drew from this account his commission as agreed with his customers. To promote this business, Ekpa advertised the same through handbills and radio announcements. Subsequently, in a charge that was initiated against Ekpa, he was accused, inter-alia, of carrying on Banking Business under Section 41 of the Banking Act of 1969. It was held however, that Ekpa's business was not a banking business envisaged under Section 41 of Banking Act of 1969 and so he was discharged and acquitted.

> From the above decisions, a banker does not refer to a biological person, who can be no more than an employee of a Bank. Thus, a banker refers to a corporate "person" with a separate legal existence as the individual or biological person, and duly licensed or authorized to carry on banking business. Consequently, under the current law regulating banking business in Nigeria,[1] a Bank means a bank licensed under the Act. Section 2(1) of the Act provides as follows
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> No person shall carry on any banking business in Nigeria except it is a company duly incorporated in Nigeria and holds a valid banking license issued under the Act.

From the above provisions, a bank is a company duly incorporated in Nigeria and holds a valid banking license issued to it under the Act, to carry on banking business. Thus, a biological or individual person is excluded from a bank or banker, though individuals constitute the company that is licensed to carry on the business of banking.

The question now is what is a banking business?

According to the Act, banking business means as follows:

> The business of receiving deposits on current account, savings account or similar account, paying or collecting cheques, drawn by or paid in by customers, provision of finance or such other business as the Governor may, by order published in the gazette, designate as banking business".

From the above, only the financial functions of a bank are emphasized. However, it is well known that banks perform other functions including social functions which are not captured in the Act. Therefore the above definition is not exhaustive of the functions of a bank and this is more so as the Governor of the Central Bank of Nigeria is empowered to designate any other business as banking business see the case of **S.B.N Ltd v. Lluch (2004) 18, NWLR (Pt. 905), p. 341.**

Who is A Bank Customer?

There does not exist any statutory definition of a bank customer even though it appears in Section 75 of the Bills of Exchange Act. References therefore, need be made to judicial decisions in order to appreciate its legal meaning. In simple language, it is a person who maintains an account in a bank. This was the court's decision in *Great Western Railway Company v London and County Banking Co* where it was held that a person who for about twenty years had been cashing a bank's Cheque payable to him over the counter without opening an account with the bank is not a customer of the bank. Lord Davey pointed out that 'there must be some sort of account, either a deposit or current account or some similar relation to make a person a customer of bank'.

Note:

- The duration of time the person has operated the account does not matter. In *Commissioner of Taxation v. English, Scottish and Australian Bank Ltd* (1920) ACT, p. 683; Lord Dunedin expatiated thus:

> Their lordships are of the opinion that the word 'customer' signifies a relationship which duration is not of the essence. A person whose money has been accepted by a bank on the footing that they undertake to honour cheques up to the amount

standing to his credit, is in the view of their lordships a customer of the bank irrespective of whether their relationship is for short or long standing.

(see also... Merchant Bank Ltd v. Onigbanjo (1969) NCLR I. See also Great Western Railway Co. v. London County Banking Co. Ltd (1901) AC, p. 414; Ademuluyi and Anor v. A.C.B. Limited (1969) 3 ALR Comm. 10. See also N. D.I.C. v. Okem Ent. Ltd (2004) 10 NWLR (Pt. 880), 107)

The meaning of a bank customer has also been extended to include a person who is about to open an account with a bank. In *Woods v. Martins Bank Ltd & Anor(1958)3All ER.P.166* it was held that the banker/customer relationship comes into existence not only when an account is opened for the customer, but also when both parties intend to enter into such relationship although no account has been opened. A major disadvantage of this decision however, is that it introduces a subjective test – the intention of the parties – thus giving rise to some elements of uncertainty in this aspect of the law.

In summary, a bank customer is one who is in the process of opening an account with a bank or who has opened an account and is operating such account up to the time he chooses to stop and closes the account.

Central Bank

The Central Bank of Nigeria is a statutory bank established by the Central Bank of Nigeria Act No 30 of 1958. The extant law governing its operation is the Central Bank of Nigeria Act 2007 with a share capital of ₦100 Billion held by the Federal Government of Nigeria as its sole shareholder. The Central Bank of Nigeria (herein after referred to as the CBN) is a financial institution and a corporate body with perpetual succession capable of suing and being sued. It is established and charged with the day to day management and control of the nation's monetary affairs, the supervision and co-ordination of banking and financial activities of the country through the exercise of its functions in BOFIA.See S.1 BOFIA 2004. The object of the CBN is to ensure monetary and price stability, issue legal tender currency in Nigeria, maintain external reserves, to safeguard the international value of the legal tender currency, promote a sound financial system, act as banker and provide economic advice to the Federal Government. The Central Bank of Nigeria besides supervision controls the activities of the commercial banks by issuing guidelines and circulars in line with its oversight responsibilities over banks and other financial institutions. It is not profit oriented.

The provisions of the Companies and Allied Matters Act, (CAMA) 1990 or any amendments thereto do not apply to the Central Bank of Nigeria, (CBN) by virtue of Section 55 of Central Bank of Nigeria Act, 2007. Consequently, the CBN unlike other classes of bank is not a company within the meaning of CAMA.

ELIGIBILITY TO CARRY ON BANKING BUSINESS IN NIGERIA

It can be argued without much equivocation that prior to the enactment of the banking ordinance of **1952**, what was obtainable can be described as free banking era. This is because during this period, there was little or no regulation guiding banking operations in Nigeria. An entrepreneur became eligible to carry on banking business in Nigeria by mere registration of the company with the Registrar of Companies under the Companies Ordinance **1912** (now extinct). This practice seems not to go on well with the colonial administration at that time. This thus led to the introduction of banking license as one of the requirements through the instrumentality of the Banking Ordinance of 1952. By the ordinance, any entity wishing to carry on banking business must first be registered as a company and must obtain a valid banking license.

The Banking Ordinance of 1958, also retained the above requirements, and was also adopted by the Banking Act of 1969. These requirements were retained by subsequent banking (Amendment) Acts in 1970, 1972, 1975 and 1979 respectively. In 1990, all the previous legislation became consolidated in a new Banking Act. The Act soon became inadequate because of the growth of the commercial sector, the banking sector to be precise. In a way to prevent the collapse of banks as a result of the inadequacies of the above Act, the Banks and Other Financial Institutions Decree (BOFID) was thus promulgated.

In each of those enactments, the power to issue banking license was conferred on different authorities. For instance, under the Banking Ordinance of 1952, the power to issue license was conferred on the Financial Secretary of the Colonial Administration. Under the 1958 Banking Ordinance, the said power was conferred on the minister charged with the responsibility for matters relating to banking business in the federation or a person acting under his direction or on his behalf, after consultation with the Central Bank. The Banking Act of 1969, conferred the power on the Federal Commissioner charged with the responsibility for matters relating to banking. But under the Bank and Other Financial Institution Act, the power is conferred on the Governor of the Central Bank of Nigeria.

It follows from the above that since 1952, the era of free banking was overtaken by the period of regulatory banking. Any entry into banking business in Nigeria has since then been controlled by the appropriate regulatory authorities through the application of statutorily prescribed measures in that behalf. The basic requirements for the carrying on of banking business in Nigeria shall be discussed below.

1.4 CONDITIONS FOR DOING BANKING BUSINESS IN NIGERIA

By the provisions of the Banks and Other Financial Institutions Act, only a body corporate can successfully carry on the business of banking in Nigeria. This requirement is by the provision of Section 2(1) which states that:

> No person shall carry on any banking business in Nigeria except it is a company duly incorporated in Nigeria and holds a valid banking license issued under this Act.

From the above, it can be seen that the two major conditions for operating banking business in Nigeria are; incorporation as a company under Nigeria Law and possession of a valid banking license. This provision has received judicial pronouncement in plethora of cases (See the cases of Akwale and Ors. v. Queen (1963) All NLR; Guardian Express Bank Plc v. Benedict Ordukwu (2009) 14 NWLR (pt. 1160) 43 ratio 10 at p. 67.) Also, the Companies and Allied Matters Act provides that no company, association or partnership consisting of more than twenty persons shall be formed for the purpose of carrying on any business for profit or gain, unless it is registered as a company under the Act, or is formed in pursuance of some other enactments in Nigeria. The requirement of incorporation in relation to an arrangement of carrying on banking business is thus primary and fundamental. It is primary in the sense that among the steps to be taken, incorporation is the first step. This is because if the company is not incorporated, the company stands as a non legal person. There are other conditions for doing banking business in Nigeria which will not be treated in this Class.

REVOCATION AND WINDING UP OF BANKING LICENCE

Revocation of banking license is the nullification or rendering void of a person's authority to carry on banking business. As discussed earlier, banking license is a mandatory requirement for the carrying on of banking business. Indeed, it is conceivable that one of the grounds on which the entry requirement of licensing is prescribed is to enable the licensor assess the potentials in terms of the capability of a would-be banker to cope with the degree of competition that exists in the industry at least in the short-run.

Since the possession of a valid banking license is a necessary condition for carrying on banking business in Nigeria, the revocation of any person's banking license results in the total incapacitation of that person in terms of the conduct of banking business. The revocation of a banker's banking license is an act that goes to the root of the operations of the institution concerned. The revocation of one's banking license can otherwise be described as the withdrawal of one's stamp of authority to carry on the business of banking. The immediate effect of the revocation is the total deprivation of the capacity or eligibility to carry on banking business. What follows, probably, is the commencement of the process of liquidation which culminates in the winding-up of the bank and subsequent dissolution.

The only authority in Nigeria having the powers to issue operating license to banks and revoke such license is the governor of the Central Bank of Nigeria. These powers flow from the mandate of the Central Bank to promote a sound financial system in Nigeria. The Governor derives his power to revoke the operational license of any bank from the Act (see Sections 12, 14 and 36 of the Banks and Other Financial Institutions Act.) The Act was enacted to specifically govern banking operations supervision and resolution in Nigeria.

The Act provides thus; *"the governor may with the approval of the Board of Directors and by notice published in the gazette, revoke any license granted under this Act…"*

In recent times, the powers of the Governor of the Central Bank as conferred by the Banks and Other Financial Institutions Act and the Central Bank of Nigeria Act in relation to the revocation of banking license and sack of directors of failing bank had received judicial pronouncement see (Savannah Bank v. CBN (2009) 6 NWLR (pt. 1137) 237) In pursuant of the above granted powers, the apex bank in the past few years revoked the licenses of some failing banks and handed over its control and management to the Nigeria Deposit Insurance Corporation and the Asset Management Corporation of Nigeria.

It would be recalled that the Central Bank of Nigeria had on Friday 5th of August, 2011 withdrew the banking licenses of Afribank Plc, Spring Bank Plc and Bank PHB Plc because the three rescued banks failed to meet up the September 30th 2009 recapitalization deadline. The Nigeria Deposit Insurance Corporation has swiftly stepped in, creating three bridge banks (temporary banks) to acquire the assets of the banks so as to continue operations on a fresh note.

The Bridge banks are Enterprise Bank Ltd, Keystone Bank Ltd and Mainstreet Bank Ltd, established to acquire all assets and liabilities of Spring Bank, Bank PHB and Afribank respectively.

The disturbing aspect of the wide powers given to the Central Bank court adjudication. For instance, Ajayi argued that the grant of banking license is a privilege and not a civil right thus such a privilege can be withdrawn by the Governor if a bank breaches any of the provisions of the Act.(See Sections 9, 12, 14 and 36 of Banks and Other Financial Institutions Act (BOFIA).) Provided the Governor follows the provisions relating to withdrawal of license, no bank can institute a successful civil action against the Central Bank for revocation of its license. This position was affirmed by the Supreme Court of Nigeria in *Merchants Bank Ltd v. Federal Ministry of Finance.(* (1961) All NLR 598*)* The grant of a license is not a Civil Right, hence revocations of banking license is not subject to fair hearing of the bank, its directors or shareholders of bank provided the revocation is done in accordance with the law establishing the Central Bank of Nigeria.

The above assertion, stem, from the provisions of Section 53 of the Banks and Other Financial Institutions Act and Section 52 of the Central Bank of Nigeria Act, which protect the Central Bank against any action, claim or demand by or liability to any person in respect of anything done or omitted to be done in good faith in pursuance of the exercise of the powers conferred by the Act. By this provision, the Central Bank of Nigeria is not subject to any action or claim by a bank whose banking license has been revoked, provided the action of revocation was done in good faith . See (Nigerian Deposit Insurance Corporation v. Central Bank of Nigeria (2002) 7 NWLR (pt. 766) 272. Merchants Bank Ltd v. Federal Ministry of Finance (1961) All NLR 598.)

TEST QUESTION.

The Era of free Banking was overtaken by the period of regulatory banking.

What are the basic or primary requirements for the carrying on of banking business in Nigeria.

Thanks.

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